same day as the budget, show growth has slipped to 4.5%, a rate that would have been unimaginably low a couple of years ago. Inflation remains a problem. Indian firms are reluctant to invest. The current account deficit is worryingly large, meaning India is dependent on volatile capital flows. Although India's stock market soared in the last few months of 2012 and in early January, it has been jittery in the last few weeks. In just over a year, *perhaps less*, a new government, and perhaps a new finance minister will be in place. And for all Mr Chidambaram's efforts, the commitment to economic reform among the political class may be skin deep. As he spoke in the chamber, most spending rises were cheered and met with a thumping of desks, not least by Sonia Gandhi, the dynast who heads the ruling congress party. Mr Chidambaram's pledges on improving the investment climate and attracting manufacturing investment, however, were met with icy silence."

The ***Reserve Bank of India*** reacted optimistically and appreciated the Government's attempts at checking the expanding fiscal deficit, which is supposed to give RBI a little bit space to go for a rate cut and ease the hardened interest rate regime. Showing confidence RBI announced a 25 basis point cut in the Repo Rate (to 7.50 per cent) by the mis-March, 2013. But the Central Banking body was not sure whether there will be any further such cut possible in future due to projected inflationary pressure.

***Industry*** and ***trade*** had a mixed reactions on the Budget though by and large there prevails an atmosphere of optimism among them. Most of the political parties sitting in the opposition viewed the Budget as an election budget.

## BUDGET HIGHLIGHTS

- The Union Budget for 2013-14 aims at higher growth rate leading to inclusive and sustainable development as 'mool mantra'.
- Finance Minister makes ***three promises***: to women, youth and the poor. **Nirbhaya Fund** to empower women and to keep them safe and secure. Proposal to set up India's first Women's Bank as a